materials, land, building requirements, general management, technical staff, cost of the project, cost of production, profitability, repayment schedule and securities needed.

Step-6: Project Appraisal Stage

To provide financial assistance banks and financial institutions examine the viability of a project and to ensure that the project will generate adequate return on the investment of resources. The project must repay the principal amount and interest on terms of the loans within the reasonable period. Project appraisal undertaken by financial institutions will be based on the technical, financial, economic, managerial operation and organizational appraisals.

Step-7: Selection of Location and Site

The selection of location and site depends upon the nearness to market and raw materials, availability of power and water, transportation, industrial estates, required skilled personnel, prevailing climatic conditions, Government incentives and subsidies, distribution channels etc.

Step-8: Provisional Registration

Provisional registration application should be submitted with the district industries centre. The issue of provisional registration is normally automatic and is given within **7 days** on the receipt of the application. The initial validity of the provisional registration is **6 months**. It may be renewed for a further period of 6 months on submission of satisfactory proof that the party has taken effective steps to establish the unit but could not complete the same. When all steps to establish the unit have been taken. i.e., the factory building is ready, power connection is given, the machinery is installed, and application may be made for the conversion of provisional registration into permanent registration.

The documents required for provisional registration are application form, duly filled in and signed by the proprietor or partner or directors, prescribed court fee stamp, 3 pass port size photos, copy of project profile, photo copy of ration card, affidavit on the stamp paper, copy of partnership deed/ memorandum of association.

Step-9: Enquiry for Machinery and Technology

The entrepreneur has to make the assessment of size of the plant and machinery. The name of suppliers of the plant and machinery and quotations should be obtained. After careful comparison of specifications, quality, delivery time and price, a decision should be taken to purchase the required machinery

7.4.2 Implementation Stage

The implementation stage consists of **12 steps.** They are:

Step-1: Statutory Licenses Arrangement

The small scale and ancillary units are required to be registered with **Directorate of Industries** in the State for obtaining the license. The new entrepreneur has to get different types of clearances from different authorities such as district health offices, director of public health chief inspector of factories, state electricity boards, municipality, state pollution control board, local sales tax authorities, superintendent of central excise etc.

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